

Risk Management Framework

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1. Investment Policy and Guidelines

All managed portfolios must adhere to the firm's Investment Policy Statement (IPS). The IPS defines acceptable asset classes, concentration limits, and risk parameters for each client risk tolerance category.

Category	Max Equity	Min Fixed Income	Alt Cap	Target Return
Conservative	30%	50%	10%	4-6%
Moderate	60%	25%	15%	6-9%
Aggressive	85%	None	20%	9-14%

All portfolios must maintain a minimum of 5 distinct holdings. No single security may exceed 15% of total portfolio value. Sector concentration must not exceed 35% of total equity allocation.

2. Concentration Risk Limits

Position concentration is a primary risk factor monitored by the Compliance team. The following limits apply to all managed accounts:

Type	Limit	Monitoring Trigger	Action
Single Security	15% max	Exceeds 12%	Alert + 5-day review
Sector Exposure	35% of equity	Exceeds 30%	Monitoring alert
Asset Class Drift	+/- 10 pts	Any breach	Rebalancing review
Issuer (Fixed Inc)	5% max	Exceeds 4%	Compliance review

Breach Protocol

When a concentration limit is breached, the advisor receives an automated alert and has 5 business days to submit a remediation plan or request an exception from the Chief Investment Officer.

3. Portfolio Rebalancing Triggers

Portfolios are reviewed for rebalancing on a quarterly basis and whenever market-triggered thresholds are breached.

Trigger	Threshold	Action
Drift	> 5 pts from target	Rebalancing event
Concentration	> 15% single position	Immediate rebalance
Risk Score	> 0.15 above tolerance	Review required
Market Volatility	VIX > 30 for 5 days	Defensive review

Tax-loss harvesting opportunities should be considered during all rebalancing events. Wash sale rules must be

observed with a 31-day lookback window.

4. Compliance Monitoring and Reporting

The Compliance team monitors all trading activity and portfolio positions daily using automated surveillance systems.

Alert Type	Severity	Resolution Time
Concentration Risk	Critical	24 hours
Suitability	Medium	10 business days
Large Transaction	Low	30 business days
Wash Sale	Medium	10 business days
Rebalancing Due	Low	30 business days
Duration Risk	Medium	10 business days

Monthly compliance reports are submitted to the Chief Compliance Officer including: total alerts generated, resolution rates, exception requests, and regulatory filing status.

5. Client Communication Standards

Advisors are required to maintain regular communication with all assigned clients:

Frequency	Type	Content
Quarterly	Written Report	Performance, benchmark, allocation
Semi-Annual	Phone/Video	Review performance, life changes
Annual	In-Person/Video	IPS update, tax, estate planning
Event-Driven	Outreach	Material market event (>5% move)

All client communications regarding investment recommendations must be archived for a minimum of 6 years per FINRA Rule 4511.